

Sonder's Collapse Exposes the Risk in Short-Term Rental CMBS Structures

A \$131.5M CMBS loan transfer reveals how single-tenant master leases can concentrate risk in securitized debt.

The most important detail in the Moinian Group's \$131.5 million CMBS loan transfer to special servicing is not the loan amount. It is the master tenant. The property at 2 Washington Street was not a traditional multifamily asset. It was a short-term rental operation run by Sonder, a hospitality company that filed for bankruptcy in November 2025. When Sonder stopped paying, the building's cash flow collapsed.

The CMBS loan that financed it is now in special servicing, and the capital stack is being unwound. This is not a story about office distress or multifamily weakness. It is a story about structural risk in securitized debt. The loan was underwritten in 2021, when short-term rental demand was surging and Sonder was still a growth story.

The bonds were sold to investors who relied on a single master tenant for cash flow. That tenant is now gone. The \$131.5 million loan is split across three CMBS conduit deals: BMARK 2021-B29, BMARK 2021-B28, and 3650R 2021-PF1. All were issued in 2021, a year when underwriting standards were loosening and yield was the priority. The loans mature in August 2031, but the cash flow stopped long before maturity.

The special servicer now controls the asset, and the bondholders are absorbing the loss. The property itself is a 483,000-square-foot, 22-story mixed-use complex near the southern tip of Manhattan. It was originally an office building from the 1970s, converted to residential in the 2010s. But 286 of its 345 units are designated by the city as short-term rentals only, capped at 30-day stays.

That zoning restriction makes a conventional multifamily conversion unlikely without a lengthy approval process. The asset is effectively trapped in its current use. This is the kind of structural constraint that CMBS investors rarely underwrite. They model occupancy, rent growth, and cap rates. They do not model a master tenant that vanishes and leaves a building that cannot be easily re-leased to long-term residents.

The special servicer will have to find a new operator, negotiate with the city, or pursue a sale at a steep discount. None of those outcomes are fast or cheap. The timing matters. The loan was originated in 2021, when interest rates were near zero and capital was chasing yield. Short-term rental platforms like Sonder and Airbnb were growing rapidly, and lenders were willing to finance assets with unconventional cash flow.

The CMBS market absorbed these loans because the spreads were attractive and the story was compelling. But the story did not survive the rate cycle. Sonder's bankruptcy was not a surprise to anyone watching the hospitality sector. The company had been burning cash for years, and its business model depended on high occupancy and premium pricing. When travel demand normalized and competition increased, the margins compressed.

Marriott terminated its licensing deal in 2025, and the company filed for Chapter 11 shortly after. The CMBS loan at 2 Washington Street was one of many assets caught in the fallout. Who benefits from this transfer? The special servicer gains control of the asset and the ability to negotiate with bondholders. The borrower, Moinian Group, loses control but may avoid a foreclosure if a workout is reached.

The bondholders are exposed to principal loss, but the timing of the loss depends on how quickly the asset can be stabilized or sold. Who is exposed? Any CMBS investor holding bonds from these 2021 conduit deals. Any lender underwriting short-term rental assets without a clear backup plan. Any owner relying on a single master tenant for cash flow.

And any market participant who assumed that CMBS structures were diversified enough to absorb single-tenant risk. The broader pattern is clear. The post-2021 capital stack is being unwound one loan at a time. The loans that looked safe in a low-rate, high-growth environment are now showing their structural weaknesses. The assets with concentrated cash flow, unconventional use, or regulatory constraints are the first to break.

The next phase of the market will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and who can survive the unwinding of the last cycle's underwriting mistakes.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co